

Research briefing | UK

The MPC and rates – preparing to descend Table Mountain

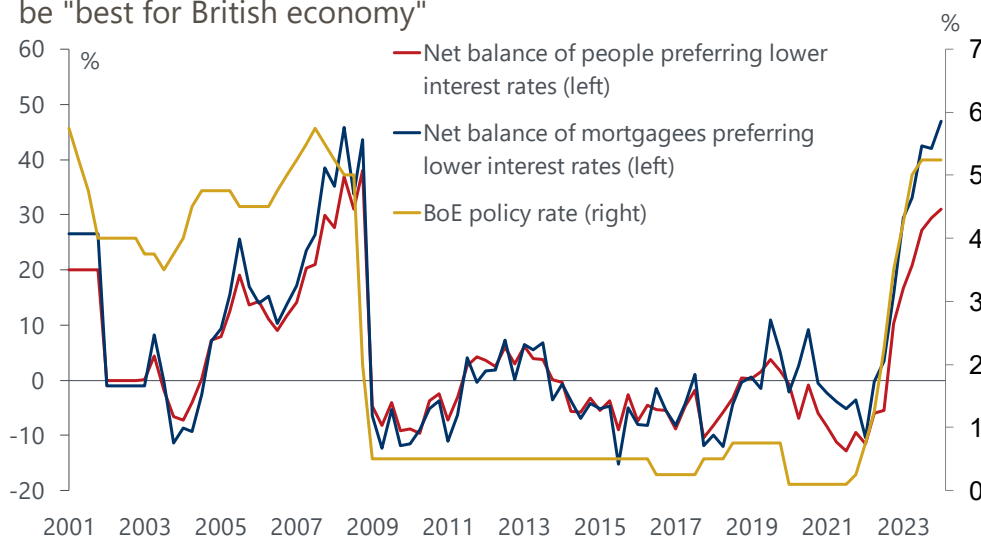
- Last autumn, the Monetary Policy Committee signalled a 'Table Mountain' approach to monetary policy, whereby the long tightening cycle would be followed by an extended plateau at the peak. Now, the MPC is getting ready to start the descent, with June the most likely month for the first of a series of cuts totalling 75bps by year end.
- Inflation continues to undershoot the MPC's forecasts and looks likely to return to (or below) the 2% target in April. Lagged effects of previous tightening are dampening activity and excess demand in the labour market has faded.
- Another sign of the squeeze from high interest rates is that a high net balance of households – and a record balance of people with a mortgage – now believe that lower interest rates would be good for the economy.
- Pay growth remains above a target-consistent pace, but is gradually slowing and is likely to weaken further given the decline in vacancies and inflation expectations.
- In response to these changing circumstances, the MPC has shifted language and now suggests it's a question of *when* interest rates will start to fall, not *if*. Moreover, with policy well into restrictive territory, the MPC has acknowledged that their previous statement that policy is likely to be "restrictive for an extended period" does not necessarily rule out lower interest rates.

Since the February monetary policy report, the level of interest rates at year end implied by financial markets has risen on balance, with the amount of easing priced in by end-2024 falling to about 75bps now from around 100bps of cuts previously.

In our view, the conditions for the Monetary Policy Committee to start to cut rates are falling into place and we expect the Committee will start to cut rates in the next few months.

Chart 1: Households – especially mortgagees – are feeling the squeeze from high interest rates

UK: Net balance of people who believe lower interest rates would be "best for British economy"



Sources: Oxford Economics/Haver Analytics

Research briefing | UK

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The MPC previously adopted a "Table Mountain" strategy

Since [last November](#), the MPC's message has been that "monetary policy is likely to need to be restrictive for an extended period of time."

The governor was clear about the initial meaning of this phrase in the [November press conference](#): "We're really just trying to emphasise this point that, we are not talking about cutting interest rates. There has been no discussion on the committee about cutting interest rates. We think that interest rates will have to remain where they are for an extended period of time to get inflation back to target." In other words, "restrictive for an extended period" initially meant no rate cuts for an extended period.

So this was a 'Table Mountain' strategy: having climbed the mountain by a major series of rate hikes since late 2021, the MPC expected to keep rates on hold for a long time.

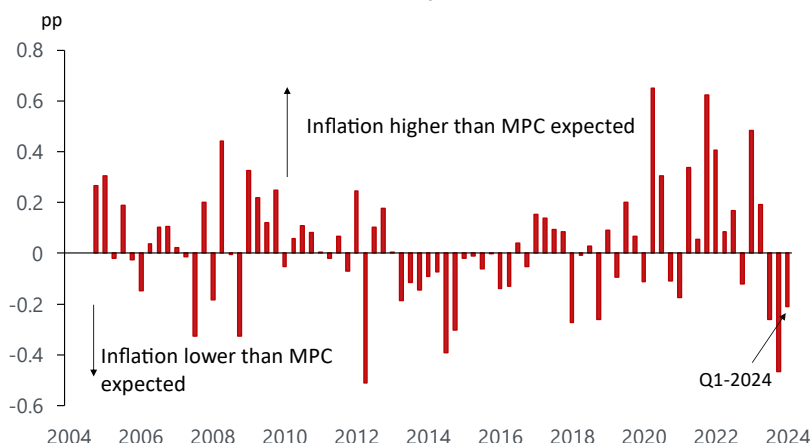
The MPC have repeated this language of "restrictive for an extended period of time" in subsequent policy statements. However, as [we argued early this year](#), in practice it now seems likely that the MPC will start to cut rates quite soon. Four factors shape our view.

1. Inflation is undershooting MPC forecasts

Inflation has continued to slow in early 2024, and Q1 inflation (using data for January-February and our forecast for March) seems likely to undershoot the MPC's February MPR forecast by about 0.2ppt, and undershoot the November MPR forecast for Q1 by about 1.0ppt. This comes after significant undershoots also in Q3 and Q4 2023, in contrast to the previous string of overshoots.

Chart 2: Inflation has continued to slow rapidly from recent peaks

UK: Inflation outturns versus MPC quarter -ahead forecasts



Source: Oxford Economics / Haver Analytics

As the adverse supply shocks from food, energy, and goods unwind, [CPI inflation is likely to continue to weaken](#). Energy prices are substantially down from a year ago, global agricultural commodity prices have weakened further, while output price inflation is close to zero. Shipping costs – which had risen sharply – have fallen in recent weeks, especially on routes from China through the Red Sea.

We suspect the MPC's inflation analysis understates the extent to which [adverse supply shocks had previously lifted inflation](#), and hence their forecasts also understate the extent to which inflation will fall as these shocks unwind. We [project Q2 inflation](#) will average 1.6% y/y, 0.4ppt below the February MPR forecast. Our Q4 inflation forecast is 1.8% y/y, roughly 1ppt below the MPC's forecast from the February MPR (2.7% y/y).

The MPC and rates – preparing to descend Table Mountain

2. Labour market continues to normalise

The labour market and inflation expectations [continue to normalise](#), reducing risks of persistent second round effects.

Over 2021-2023, job vacancies rose far above previous norms, as loose monetary policy fuelled optimistic hiring plans and shifts in the composition of demand required some reallocation of labour. Moreover, high headline inflation and low interest rates pushed inflation expectations sharply higher. In turn, these factors fuelled a marked pickup in pay growth and contributed to the recent strength in services inflation.

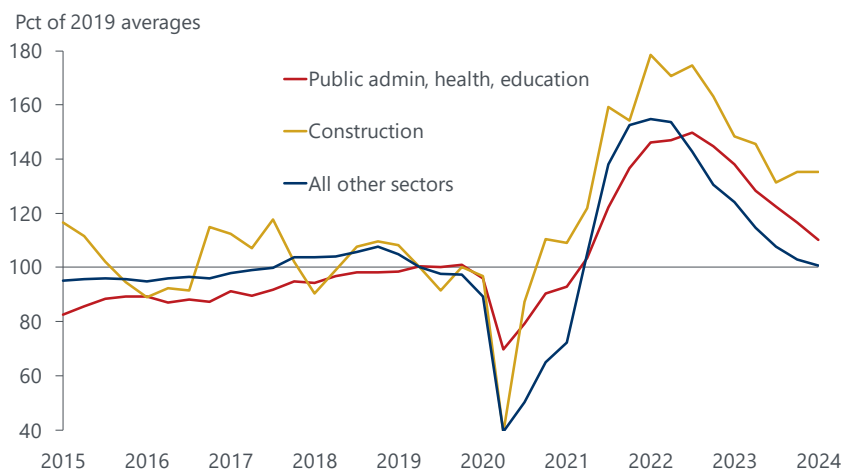
Those factors are now fading in response to tighter monetary policy and some knock-on effects from lower inflation. Inflation expectations have fallen back on various measures and, with headline inflation falling, are likely to decline further in the coming quarters. Firms' hiring intentions have weakened, and labour reallocation has proceeded. As a result, job vacancies have fallen by 30% from their recent peak, a slightly steeper fall than in both the US and eurozone.

The overall job vacancy rate (i.e., vacancies as a percentage of employment) is now close to the 2019 average. Indeed, excluding a few sectors that have faced persistent labour shortages (construction and those dominated by the public sector – notably public administration, defence, education, health, and social care), the aggregate vacancy rate in all other sectors combined is back to the 2019 average. Given the government's tight spending plans, the high level of vacancies in public services is likely to lead to reduced output in those sectors rather than higher pay growth.

The construction sector is also something of a special case, having faced labour shortages due to Brexit and Covid. These shortages may be eased by lower activity, consistent with recent weakness in construction orders and output, but are not really representative of the broad picture across other sectors.

Chart 3: Excess demand in the labour market has largely faded

UK: Ratio of outstanding job vacancies to employment by sector



Sources: Oxford Economics/Haver Analytics

Vacancies are likely to fall further given the sluggish economic outlook. Against this background, pay growth and survey guides to firms' pricing intentions have continued to slow across a range of measures. Pay growth remains above a target-consistent pace, but recent data are consistent with the February MPR glide path to a target-consistent pace of pay growth next year.

There are still uncertainties over the extent to which this year's large increase in the National Living Wage will lift aggregate pay growth. However, if this effect was large, it probably would be evident in the DMP survey of firms' expectations for pay growth, and this has remained around 5% – which is consistent with the MPC's forecast for private sector regular pay this year.

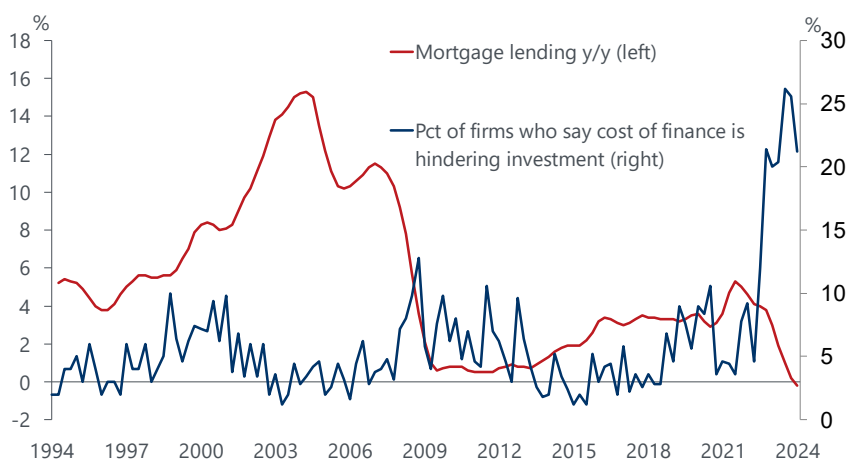
The MPC and rates – preparing to descend Table Mountain

3. Monetary conditions are tight, with ongoing lagged effects from previous tightening

The lagged effects of previous monetary tightening continue to dampen activity, with marked weakness in interest-sensitive indicators. For example, mortgage lending growth is negative for the first time since data began to be collected almost 30 years ago, while a relatively high share of firms (weighted across services and manufacturing) report that the cost of finance is a major factor hindering investment.

Chart 4: Weakness in interest-sensitive indicators confirms monetary policy is restrictive

UK: Mortgage lending and firms' attitude to cost of finance



Sources: Oxford Economics/Haver Analytics

Another sign of the squeeze from high interest rates is that the [Bank of England's regular survey of consumers](#) has found that the net balance of people believe it would be best for the British economy if interest rates come down is close to a record high (see [Chart 1](#)). The latest figure has only been exceeded by the mid-2008 readings, when the economy was in a deep recession and interest rates were on their way down from 5.75% in late-2007 to just 0.5% in early 2009. Among people with a mortgage, the net balance that believe it would be best for the economy if interest rates come down is at a record high since this survey began in 2001. Of course, the MPC's interest rate decisions don't have to follow public opinion, but these readings are another sign that the current level of interest rates is affecting households' spending decisions and hence constraining activity.

Moreover, there is still a [significant and ongoing tightening of monetary conditions](#) as households with fixed-rate mortgages refinance at higher rates compared to the low interest rates of recent years. Since the MPC began to hike rates in late 2021, the average interest rate on new mortgages has risen by 360bps, but the average interest rate on the stock of mortgage debt has still only risen by 140bps. Even though Bank Rate has been stable since last August, the average interest rate on the stock of mortgage debt has continued to rise by just about 20bp per quarter.

If interest rates on new mortgages remain at current levels, the stock mortgage rate will continue to rise over the coming three years or so, albeit at a gradually diminishing pace. The shift to longer-term, fixed-rate mortgage debt implies that a key part of monetary policy transmission is markedly slower now than it used to be, and past effects of previous tightening will continue to dampen activity.

4. The MPC has reinterpreted its "restrictive for an extended period" language

The MPC has reinterpreted what it means by the phrase "restrictive for an extended period", and now argues that monetary policy would still be restrictive even if interest rates come down a bit. The [February MPR](#) (see pages 58-62) showed that policy is well into restrictive territory on various measures. Moreover, in the [February press conference](#) the Governor said "Of course we could cut interest rates and policy would still be restrictive. I mean, these are degrees of restriction, obviously." Indeed, the governor signalled at the February press conference that the next move in rates is likely to be down, and it is now a question of how long they need to wait before cutting rates.

The MPC and rates – preparing to descend Table Mountain

In case anyone missed the point, [Huw Pill](#) spelt it out in his recent speech: “Maintaining restrictiveness does not necessarily mean leaving Bank Rate unchanged. For one thing, real interest rates – which may be more relevant for some economic decisions and thus for the transmission of monetary policy – will rise as inflation and shorter-term inflation expectations ease. The MPC will need to take this into account in setting Bank Rate. And what’s more the overall monetary policy stance can remain restrictive – even if less so than previously – even after a Bank Rate cut. A change in the Bank Rate can still leave the level of Bank Rate in restrictive territory.” The MPC introduced similar language in the [March policy statement](#): “The Committee recognised that the stance of monetary policy could remain restrictive even if Bank Rate were to be reduced, given that it was starting from an already restrictive level.”

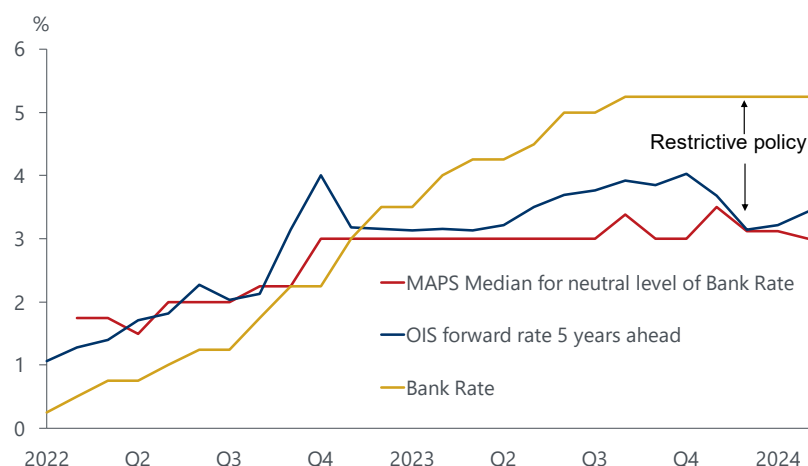
With this new, more flexible interpretation, the phrase “restrictive for an extended period” no longer necessarily implies that rates are on hold for an extended period. The MPC’s language allows them flexibility to respond to changing economic circumstances. It implies that rates will remain above some concept of neutral and takes account of the prospect that (with inflation and pay growth slowing) a stable nominal policy rate would imply rising real rates. In the analogy, the MPC’s language now offers a route down Table Mountain.

Estimates of neutral rates, and hence the extent to which policy is restrictive, are uncertain. The MPC’s [latest published estimate](#) (mid-2018) judged that a neutral nominal policy rate would be around 2.25% in subsequent years, but that was some time ago. [Andrew Bailey](#) argued in mid-2022 that “it is not unreasonable to expect that Global R*, the long-run anchor for UK equilibrium interest rates, will remain low”. Oxford Economics research also suggests that persistent effects from demographics, productivity, and other factors will keep neutral rates relatively low in coming years (see [here](#), [here](#) and [here](#)).

Without endorsing them too strongly, the MPC is likely to focus on the BoE MAPS survey (which suggests that a neutral rate is about 3%) and market pricing for OIS rates five years forward (3.4% currently). Similarly, the [Treasury’s regular survey of external forecasts](#) suggests that in coming years, Bank Rate of about 3% would be consistent with keeping inflation on target over time. These benchmarks suggest that from the current policy rate, the MPC could cut rates significantly and still maintain a restrictive stance.

Chart 5: From here, the MPC could ease significantly and still keep rates in restrictive territory

Bank Rate and guides to neutral level of rates



Sources: Oxford Economics/Haver Analytics

What we expect the MPC will do

As further evidence of a rapid drop in inflation and some slowdown in pay growth comes through, we expect the MPC in coming months will begin to shift to a less restrictive stance, with policy gradually returning to neutral over the next 12-24 months. The pace of easing is likely to be calibrated against a gradual decline in pay growth and services inflation back to target-consistent rates.

The timing of the first cut is uncertain, however. The language in the March policy statement suggests that every meeting is now 'live', in the sense that those who voted for no change in rates at that meeting are not

The MPC and rates – preparing to descend Table Mountain

putting a predefined threshold on the extent of evidence that would be required for them to vote for easing. The statement reads: "For all of these members (who voted for no change in rates at the March meeting), a further accumulation of evidence on inflation persistence would be required to warrant a shift in the monetary policy stance, with members differing on the extent of evidence that was likely to be needed. They would continue to consider the degree of restrictiveness of policy at each meeting."

A May cut seems unlikely at this stage, in our view, but could be feasible if upcoming data are very soft and markets price in early easing. June is probably the most likely date. Our scenario is that the MPC will:

- Use the May MPR forecast (released May 9) to confirm that lower interest rates are needed to prevent inflation undershooting two-three years ahead;
- Reinforce that message in speeches or press comments after the MPR and signal they are close to easing;
- See the April and May CPI data (released May 22 and June 19, respectively), which are likely to show inflation back to 2% or even below;
- Review the April average earnings figures, which will include effects from the NLW increase (released June 11); and
- Then cut 25bps at the June policy meeting (on June 20).

But a delay to August is also feasible, for example if the MPC are reluctant to signal possible easing until they have seen the April earnings figures, and then lack the time to create a strong internal and external consensus for easing in June. We doubt the MPC will want to make the first rate cut a surprise to financial markets.

Either way, we would expect a couple more cuts by year end, so not necessarily at every meeting. The easing cycle could be accelerated if necessary or curtailed at any point if inflation pressures prove surprisingly persistent.

To be sure, the MPC could choose to largely (or fully) defer easing until pay growth and services inflation are back to – or close to – a target-consistent pace, which may not occur until next year, and then ease rapidly. However, that strategy is probably not optimal. Starting from the current tight stance and with [policy lags longer](#) than they used to be, monetary policy needs to ease a little faster than before in response to fading inflation pressures rather than waiting until all the slowest-moving variables have fallen into place. Delayed easing would probably condemn the economy to unnecessary weakness and pave the way for a sustained inflation undershoot subsequently.

Nor is uncertainty over the exact level of neutral rates likely to deter the MPC from initial easing steps. The MPC is probably fairly sure the neutral rate is below 4% and hence could be reasonably comfortable that rate cuts to around that level would still leave policy in restrictive territory (albeit less than now). Easing to that level could be as rapid or slow as data justify. If Bank Rate reaches 4% or so in the next 12-18 months, then any further easing beyond that may be relatively gradual, with the MPC wanting to see the effects of their policy actions in order to pin down a firmer sense of where neutral lies. In other words, uncertainty over the exact level of neutral will probably only constrain the pace of easing once rates get close to the ballpark of neutral, rather than prevent easing from the current restrictive level.